

Tencent (0700)

Funding the AI trough

We maintain **Overweight** on Tencent with a **HK\$690 price target**, based on 20x 2027E earnings. Our thesis spans the 2026–27 AI investment cycle: we expect 2026 to be the trough year for earnings growth at about 2%, followed by a recovery toward 10–15% from 2027 as AI monetization begins to offset investment costs. The key assumption is that AI spending remains concentrated in 2026–27 and Tencent keeps reporting “new AI products” on a consistent basis. If spending rises materially beyond this range or the reporting scope changes, our trough-year thesis would weaken. **Own Tencent for AI monetization as its AI applications gain usage over the coming quarters.**

Expecting AI monetization to be just around the corner. We raise our 2027E online ads revenue growth rate estimate from 14% to 27% and our 2026/27E cloud revenue growth rate from 14/30% to 21/33% as we expect Tencent’s AI monetization in both the enterprise market and consumer internet market to take place. We expect the incremental AI monetization will lead to an earnings growth recovery from +1% in 2026 to +13% in 2027. While our 2027 EPS estimate is inline with consensus, we believe AI monetization is likely to lead to a valuation re-rating as Tencent demonstrates returns on its AI investment.

We think the market is treating flat sequential profit and negative reported free cash flow as signs of stagnation and cash burn. We see a different picture: Tencent’s core businesses are generating enough profit to fund the current AI investment program. Free cash flow was Rmb37.6bn excluding compute prepayments, versus reported free cash flow of negative Rmb13.8bn. Selling excess compute capacity also reduces the risk of stranded capex, although heavy reliance on this route would shift returns toward lower-margin cloud revenue. Our upside case therefore still depends on successful internal AI deployment and a strong Hunyuan 4 launch. We assign no value to Xiaowei in our base case.

Our thesis would weaken if marketing services growth falls below the high teens in 3Q26, quarterly AI investment rises above roughly Rmb12–13bn without a clear explanation or offsetting revenue, or Tencent materially changes the reporting scope for new AI products. We would also turn more cautious if Hunyuan 4 slips beyond 2026 or launches without competitive performance, or if FY26 capex exceeds our Rmb200bn estimate. Key confirmation points are an on-time Hunyuan 4 launch later this year and deferred revenue growth that cannot be explained by games bookings alone.

Overweight

0700.HK, 700 HK

Price (12 Aug 26): HK\$461.60

Price Target (Dec-26): HK\$690.00

China

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J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	28.47	28.73	0.9%
Adj. EPS - 27E (Rmb)	31.98	32.85	2.7%
Revenue - 26E (Rmb mn)	818,531	823,672	0.6%
Revenue - 27E (Rmb mn)	893,729	919,175	2.8%

Quarterly Forecasts (FYE Dec)

Adj. EPS (Rmb)	2025A	2026E	2027E
Q1	6.62	7.40A	8.75
Q2	6.82	7.47A	7.86
Q3	7.64	6.86	7.99
Q4	7.00	6.99	8.25
FY	28.08	28.73	32.85

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	13	22	24	23	23
Growth	39	24	32	67	49
Momentum	73	32	13	33	85
Quality	12	8	8	33	19
Low Vol	41	29	32	74	29
ESGQ	22	6	19	16	20

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 8 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	-22.9%	0.3%	1.0%	-17.5%
Rel	-22.2%	-4.9%	4.4%	-19.4%

Company Data

Shares O/S (mn)	9,525
52-week range (HK\$)	683.00-411.00
Market cap (\$ mn)	560,345
Exchange rate	7.85
Free float (%)	67.2%
3M ADV (mn)	32.95
3M ADV (\$ mn)	1,912.1
Volatility (90 Day)	40
Index	HSI
BBG ANR (Buy Hold Sell)	64 3 1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	751,766	823,672	919,175	1,025,535
Adj. EBIT	280,656	292,504	332,723	377,295
Adj. EBITDA	307,590	332,957	412,017	479,146
Adj. net income	259,626	262,774	297,509	335,745
Adj. EPS	28.08	28.73	32.85	37.52
BBG EPS	28.08	29.99	32.93	36.33
Cashflow from operations	303,052	278,583	368,182	403,899
FCFF	215,570	82,549	64,854	147,515
Margins and Growth				
Revenue Growth Y/Y (%)	13.9%	9.6%	11.6%	11.6%
EBIT margin	37.3%	35.5%	36.2%	36.8%
EBIT Growth Y/Y (%)	18.0%	4.2%	13.8%	13.4%
EBITDA margin	40.9%	40.4%	44.8%	46.7%
EBITDA Growth Y/Y (%)	(35.3%)	8.2%	23.7%	16.3%
Net margin	34.5%	31.9%	32.4%	32.7%
Adj. EPS growth	18.8%	2.3%	14.3%	14.2%
Ratios				
Adj. tax rate	15.0%	16.7%	17.2%	16.9%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	0.0	0.0
Net debt/EBITDA	NM	NM	0.1	0.1
ROE	22.6%	19.6%	19.0%	18.6%
Valuation				
FCFF yield	5.9%	2.3%	1.8%	4.2%
Dividend yield	1.2%	1.2%	1.4%	1.6%
EV/Revenue	4.4	3.8	3.2	2.7
EV/EBITDA	10.8	9.4	7.2	5.7
Adj. P/E	14.1	13.8	12.1	10.6

Summary Investment Thesis and Valuation

Our long-term thesis is that Tencent remains China Internet's highest-quality compounder: durable user engagement, improving games and advertising monetization, strong margins and balance-sheet capacity, and AI optionality with credible monetization paths. While we admit Tencent's near-term earnings path is becoming less smooth, our core thesis has not weakened. For investors with a 12-month horizon, the case remains attractive: own Tencent for the quality of the core franchise and receive AI optionality tied to credible monetization paths. Investors requiring a near-term catalyst should recognize that the shares may remain inexpensive until key signposts arrive.

Our Dec-26 PT of HK\$690 is based on 20x 2027E P/E, at the top end of tier-1 Internet stocks' current consensus valuation range given Tencent's solid operations and the fact that it is well positioned to benefit from GenAI.

Performance Drivers

Market	12%
Region	52%
Macro	14%
Style	1%
Idiosyn.	20%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.34	0.42
Region: China	0.79	0.86
Macro:		
Citi Economic Surprise - EM	-0.23	-0.26
JP Morgan EMBI Global Spread	-0.21	-0.26
US 10 Year Yield	0.35	0.21
Quant Styles:		
LowVol	0.02	-0.16
Quality	0.28	0.11
Growth	0.01	0.09

2Q26: strong revenue mix, with profit reinvested into AI

Tencent delivered a solid operating quarter. Revenue rose 11% YoY to Rmb204.8bn, 1% above consensus, while non-IFRS net profit increased 9% to Rmb68.4bn, in line with consensus. Marketing services grew 22% YoY, domestic games +17% YoY, and FinTech and business services 9% YoY. Cloud revenue accelerated to the low-20% range following May price increases, while gross margin reached 58%, up 1ppt YoY. The 4% IFRS net profit miss was largely accounting-related, reflecting a Rmb10.0bn share of losses from associates tied to a fair-value adjustment on an unlisted investment.

Core profit growth remains stronger than consolidated earnings

The most useful disclosure for assessing Tencent through the AI investment cycle remains operating profit excluding new AI products. This metric reached Rmb86.1bn in 2Q, up 19% YoY and 2% QoQ, versus consolidated non-IFRS operating profit of Rmb75.6bn, up 9% YoY and broadly flat sequentially.

The roughly Rmb10.5bn difference between the two measures provides an estimate of quarterly investment in Hunyuan, Yuanbao, CodeBuddy, WorkBuddy and Xiaowei, up from about Rmb8.8bn in 1Q. Virtually all of the sequential improvement in the established businesses was absorbed by higher AI spending. Importantly, the reporting scope remained consistent this quarter, allowing investors to distinguish weakness in the core business from deliberate AI investment.

Excess compute reduces downside, but does not drive the upside case

Management said excess compute capacity could be rented through Tencent Cloud at cost recovery or better if internal AI demand develops more slowly than expected. This reduces the risk that AI infrastructure becomes stranded capital, while cloud growth in the low-20% range provides a reasonable backdrop for external monetization.

We would not overstate this protection: renting or reselling compute produces cloud-like economics, and today's attractive resale environment partly reflects constrained supply that may normalize. The more important upside remains Tencent generating incremental revenue and profit from AI applications running on its own infrastructure.

Hunyuan 4, Weixin agent and WorkBuddy are the next evidence points

Management expects Hunyuan 4 to launch later in 2026 and aims for the model to compete with, and potentially outperform, larger peer models. Early monetization signals are also emerging: management said domestic token services earn positive gross margin at current pricing, while WorkBuddy's paid tier already has gross margins comparable with Tencent Cloud. Cash collections for WorkBuddy are reportedly rising ahead of revenue recognition, making deferred revenue a useful indicator to watch.

Disclosure remains limited, however. Tencent provided no WorkBuddy user, paying-user or retention metrics, no explicit Xiaowei monetization timetable, and no long-term return targets for internal AI deployment. We therefore continue to assign no value to Xiaowei in our base case.

Tencent began a small scale prototype test of Xiaowei, the Weixin agent, in recent weeks, and management plans a phased rollout as dialogue, memory, service integration, and the agent harness mature. Because neither consensus nor our estimates capitalize agent economics today, the first disclosures of Xiaowei user metrics, GMV, or monetization could become key catalysts for the shares over the coming quarters. Xiaowei sits directly on Weixin's social graph, merchant network, payments, and Mini Program rails, so even early adoption or transaction data would allow investors to start underwriting an agentic commerce option currently valued at zero.

Cash flow reflects the timing of the investment ramp

Reported free cash flow was negative Rmb13.8bn, but excluding compute prepayments Tencent reported adjusted free cash flow of Rmb37.6bn. The quarter also included Rmb41.6bn of annual dividend payments, while capex payments reached Rmb59.3bn as AI infrastructure investment accelerated.

Tencent can still fund the current AI program internally: We see partial disposal of Tencent's Rmb700bn-plus equity investment portfolio as a potentially efficient way to fund the AI investment cycle. From a corporate finance perspective, recycling capital from mature or non-core financial investments into AI is value-accretive if the expected return on incremental AI spending exceeds the risk-adjusted return Tencent would earn from continuing to hold those assets. It would also reduce the need to fund higher capex through retained earnings, limiting near-term pressure on free cash flow and shareholder returns while making productive use of an asset base that, in our view, receives limited recognition in Tencent's current valuation. The key discipline is price: Tencent should avoid selling strategically valuable holdings at unattractive valuations simply to meet an investment budget. Done selectively, portfolio monetization could therefore convert an underappreciated balance-sheet asset into funding for a higher-return strategic opportunity without materially weakening the core business.

With sufficient funding, we believe the key question over the next several quarters is whether growing usage of Hunyuan, WorkBuddy and eventually Xiaowei begins to convert that investment into an incremental earnings stream.

Estimate changes

We lift the 2026/27 revenue forecasts by 1-3%, reflecting higher expectation on advertisement and cloud growth, offset by slower gaming growth. Accordingly, our 2026/27E adj. net profit is revised up by 1-3%. Our price target is unchanged at HK\$690, still based on 20x 2027E P/E.

Table 1: Tencent estimate changes summary

YE 31 Dec	2026E					2027E				
RMBm	JPM old	JPM new	% change	Consensus	% delta	JPM old	JPM new	% change	Consensus	% delta
VAS	394,758	390,970	-1%	395,221	-1%	421,350	414,930	-2%	424,139	-2%
SNS	130,665	129,051	-1%	130,493	-1%	132,696	131,689	-1%	136,450	-3%
Online games	264,093	261,919	-1%	266,613	-2%	288,654	283,240	-2%	291,902	-3%
Domestic games	176,474	181,222	3%	180,608	0%	190,737	193,344	1%	194,992	-1%
International games	87,619	80,697	-8%	84,501	-5%	97,917	89,896	-8%	92,359	-3%
Advertising	171,372	175,129	2%	171,471	2%	195,465	223,181	14%	198,236	13%
Fintech and business services	242,812	247,901	2%	250,395	-1%	267,373	271,492	2%	273,065	-1%
Others	9,589	9,672	1%	8,754	10%	9,541	9,573	0%	9,183	4%
Net Revenue	818,531	823,672	1%	825,841	0%	893,729	919,175	3%	904,622	2%
Gross profit	462,237	461,214	0%	468,682	-2%	508,381	514,774	1%	517,842	-1%
Opex	(205,017)	(204,719)	0%			(222,740)	(224,852)	1%		
Sales	(48,987)	(51,160)	4%			(50,797)	(54,406)	7%		
PBT	279,276	280,264	0%		na	306,268	323,637	6%		na
Net income	219,044	220,172	1%	237,720	-7%	240,716	252,707	5%	261,439	-3%
Net income, non-IFRS	260,589	262,774	1%	290,960	-10%	289,852	297,509	3%	324,029	-8%
EPS (RMB)	23.93	24.07	1%	25.94	-7%	26.56	27.90	5%	28.67	-3%
EPS, non IFRS (RMB)	28.47	28.73	1%	29.95	-4%	31.98	32.85	3%	32.87	0%
Margin analysis (%)										
GP margin	56.5%	56.0%	-0.5 ppt	56.8%	-0.7 ppt	56.9%	56.0%	-0.9 ppt	57.2%	-1.2 ppt
Operating margin	31.4%	31.1%	-0.3 ppt	N/A		32.0%	31.5%	-0.4 ppt	N/A	
Operating margin, adjusted	36.1%	35.5%	-0.6 ppt	N/A		37.2%	36.2%	-1.0 ppt	N/A	
Net margin	26.8%	26.7%	0.0 ppt	28.8%	-2.1 ppt	26.9%	27.5%	0.6 ppt	28.9%	-1.4 ppt
Net margin, non-IFRS	31.8%	31.9%	0.1 ppt	35.2%	-3.3 ppt	32.4%	32.4%	-0.1 ppt	35.8%	-3.4 ppt

Source: Bloomberg Finance L.P. estimates., J.P. Morgan estimates (as of Aug 13, 2026)

Investment Thesis, Valuation and Risks

Tencent (*Overweight; Price Target: HK\$690.00*)

Investment Thesis

Our long-term thesis is that Tencent remains China Internet's highest-quality compounder: durable user engagement, improving games and advertising monetization, strong margins and balance-sheet capacity, and AI optionality with credible monetization paths. While we admit Tencent's near-term earnings path is becoming less smooth, our core thesis has not weakened. For investors with a 12-month horizon, the case remains attractive: own Tencent for the quality of the core franchise and receive AI optionality tied to credible monetization paths. Investors requiring a near-term catalyst should recognize that the shares may remain inexpensive until key signposts arrive.

Valuation

Our Dec-26 PT of HK\$690 is based on 20x 2027E P/E, at the top end of tier-1 Internet stocks' current consensus valuation range, given Tencent's solid operations and the fact that it is well positioned to benefit from GenAI.

Risks to Rating and Price Target

Downside risks to our rating and PT include:

- Further regulatory tightening for games.
- A continued slowdown in the macro economy.
- Inability to launch successful mobile game titles continuously.
- A slower-than-expected ramp-up of mobile ad revenue.
- Video content spend.
- Higher-than-expected investments into new initiatives (e.g., Cloud and Internet finance) due to intensified competition, leading to margin pressure.

Upside risks include:

- Tencent to launch and monetize its new game titles in China.
- A better macro environment to support ads growth.
- Policy support in cloud, business service, etc.

Tencent (0700): Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	660,257	751,766	823,672	919,175	1,025,535	Cash flow from operating activities	258,521	303,052	278,583	368,182	403,899
COGS	(311,011)	(329,173)	(362,458)	(404,402)	(445,128)	o/w Depreciation & amortization	56,213	66,028	76,462	122,095	156,733
Gross profit	349,246	422,593	461,214	514,774	580,408	o/w Changes in working capital	21,881	16,484	23,470	16,673	21,417
SG&A	(149,149)	(177,854)	(204,532)	(222,932)	(255,883)	Cash flow from investing activities	(122,187)	(205,732)	(332,247)	(429,062)	(402,774)
Adj. EBITDA	475,116	307,590	332,957	412,017	479,146	o/w Capital expenditure	(89,321)	(112,881)	(221,433)	(328,727)	(281,783)
D&A	(267,017)	(66,028)	(76,462)	(122,095)	(156,733)	as % of sales	13.5%	15.0%	26.9%	35.8%	27.5%
Adj. EBIT	237,755	280,656	292,504	332,723	377,295	Cash flow from financing activities	(176,494)	(87,155)	(5,910)	208,419	(15,884)
Net Interest	16,004	16,909	16,827	16,000	16,000	o/w Dividends paid	(31,244)	(39,907)	(35,910)	(41,581)	(45,884)
Adj. PBT	271,141	316,343	316,273	367,928	411,010	o/w Shares issued/(repurchased)	1,932	2,721	0	0	0
Tax	(45,018)	(47,448)	(52,928)	(63,109)	(69,445)	o/w Net debt issued/(repaid)	-	-	-	-	-
Minority Interest	(2,394)	(4,959)	(7,164)	(7,820)	(7,820)	Net change in cash	(39,801)	8,522	(44,409)	161,187	(1,111)
Adj. Net Income	222,703	259,626	262,774	297,509	335,745	Adj. Free cash flow to firm	195,594	215,570	82,549	64,854	147,515
Reported EPS	20.59	24.32	24.07	28.07	31.16	y/y Growth	(2.7%)	10.2%	(61.7%)	(21.4%)	127.5%
Adj. EPS	23.63	28.08	28.73	32.85	37.52						
DPS	4.19	4.95	4.90	5.68	6.34						
Payout ratio	20.4%	20.4%	20.4%	20.2%	20.4%						
Shares outstanding	9,424	9,246	9,148	9,057	8,949						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	132,519	141,041	96,632	257,819	256,708	Gross margin	52.9%	56.2%	56.0%	56.0%	56.6%
Accounts receivable	48,203	49,930	53,760	59,993	66,935	EBITDA margin	72.0%	40.9%	40.4%	44.8%	46.7%
Inventories	440	530	1,326	1,480	1,651	EBIT margin	36.0%	37.3%	35.5%	36.2%	36.8%
Other current assets	315,018	403,959	414,041	430,931	444,079	Net profit margin	33.7%	34.5%	31.9%	32.4%	32.7%
Current assets	496,180	595,460	565,759	750,223	769,373	ROE	23.1%	22.6%	19.6%	19.0%	18.6%
PP&E	133,283	199,281	318,853	500,086	599,737	ROA	13.3%	13.6%	12.1%	11.6%	11.2%
LT investments	550,988	589,287	458,319	333,295	228,926	ROCE	16.9%	17.3%	15.0%	13.9%	13.3%
Other non current assets	600,544	654,958	968,897	1,250,768	1,562,461	SG&A/Sales	22.6%	23.7%	24.8%	24.3%	25.0%
Total assets	1,780,995	2,038,986	2,311,827	2,834,373	3,160,498	Net debt/Equity	NM	NM	NM	0.0	0.0
Short term borrowings	61,508	53,160	53,160	53,160	53,160	Net debt/EBITDA	NM	NM	NM	0.1	0.1
Payables	202,744	217,623	245,250	271,187	297,259	Sales/Assets (x)	0.4	0.4	0.4	0.4	0.3
Other short term liabilities	132,657	141,968	152,519	166,533	182,139	Assets/Equity (x)	1.7	1.7	1.6	1.6	1.7
Current liabilities	396,909	412,751	450,929	490,880	532,558	Interest cover (x)	NM	NM	NM	NM	NM
Long-term debt	146,521	208,369	238,369	488,369	518,369	Operating leverage	284.1%	130.2%	44.1%	118.6%	115.8%
Other long term liabilities	183,669	176,801	176,801	176,801	176,801	Tax rate	16.6%	15.0%	16.7%	17.2%	16.9%
Total liabilities	727,099	797,921	866,099	1,156,050	1,227,728	Revenue y/y Growth	8.4%	13.9%	9.6%	11.6%	11.6%
Shareholders' equity	1,053,896	1,241,065	1,445,728	1,678,323	1,932,770	EBITDA y/y Growth	68.4%	(35.3%)	8.2%	23.7%	16.3%
Minority interests	-	-	-	-	-	EPS y/y Growth	44.2%	18.8%	2.3%	14.3%	14.2%
Total liabilities & equity	1,780,995	2,038,986	2,311,827	2,834,373	3,160,498						
BVPS	113.39	136.50	160.34	187.93	219.04	Valuation					
y/y Growth	22.9%	20.4%	17.5%	17.2%	16.6%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	(120,801)	(123,290)	(48,881)	39,932	71,043	P/E (x)	16.8	14.1	13.8	12.1	10.6
						P/BV (x)	3.5	2.9	2.5	2.1	1.8
						EV/EBITDA (x)	7.1	10.8	9.4	7.2	5.7
						Dividend Yield	1.1%	1.2%	1.2%	1.4%	1.6%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Tencent (0700) (0700.HK, 700 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 07, 2010. All share prices are as of market close on the previous business day.

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